Income Statement

	2024	2025	2026	Assumptions
Sales Revenue	$3,759,200.00	$11,277,600.00	$18,796,000.00	
Sales Returns/ discounts	$375,920.00	$1,127,760.00	$1,879,600.00	2
Net Sales	**$3,383,280.00**	**$10,149,840.00**	**$16,916,400.00**	
Finished Goods Inventory Jan.1	$0.00	$50,000.00	$50,000.00	7
Cost of Goods Manufactured	$968,320.00	$2,709,520.80	$4,394,165.60	
Total Goods Available for Sale	$968,320.00	$2,759,520.80	$4,444,165.60	
Less: Finished Goods Inventory Dec.31	$623,920.00	$1,327,760.00	$1,999,600.00	7
Cost of Goods Sold	**$344,400.00**	**$1,431,760.80**	**$2,444,565.60**	
Gross Profit	$3,038,880.00	$8,718,079.20	$14,471,834.40	
Operating Expenses				
Marketing Expenses	$112,776.00	$338,328.00	$563,880.00	5
Freight Expenses	$80,709.03	$235,142.22	$408,420.40	6
Salaries	$40,000.00	$41,440.00	$42,931.84	4
Total Operating Expenses	**$233,485.03**	**$614,910.22**	**$1,015,232.24**	
Operating Income Before Tax	**$2,805,394.97**	**$8,103,168.99**	**$13,456,602.16**	
Income Tax Expense (30%)	$841,618.49	$2,430,950.70	$4,036,980.65	3
Net Income (Earning After Tax)	**$1,963,776.48**	**$5,672,218.29**	**$9,419,621.51**	

Assumptions

1	Figures for 2024 are calculated starting from September.

2	**Sales Returns/Discounts:** Sales return is estimated to be 10% of Sales Revenue, to account for the following: - Potential product returns: helps Wuxly set aside funds to cover the cost of returns and manage inventory more effectively - Quality issues: This allows Wuxly to plan for potential warranty claims and improve product quality - Promotional discounts offered to customers.
3	**Corporate tax rate:** The corporate tax rate in Germany is 30%
4	**Salaries:** Salaries are being paid to office employees such as the Shipping Coordinator ($40,000 per year), and Manager ($80,000 per year). These estimates are derived from the following: Annual Salary of Production Manager in Toronto = $83,440 (Robert Half) Annual Salary of Shipping Coordinator = $42,900 The rate at which Salaries increase per year in Toronto is 3.6%
5	**Marketing Expenses:** Values obtained from Marketing Budget. Includes Email Marketing Campaigns, Billboards, Partnerships with Retailers, and Digital Marketing. We'll use 3% of the sales revenue for our marketing every- year. The Marketing Budget increases every year to accommodate market expansion.
6	**Freight Expenses:** Values obtained from Freight Budget. Includes Sea Freight Charges, Freight Insurance, Packaging Materials, Import Duty, VAT and Other Expenses.
7	**Finished Goods Inventory:** Finished Goods Inventory for Dec 13st is calculated as follows: Desired ending units (obtained from Cost of Goods Manufactured Schedule) x Selling Price